

Cliff Notes: policy matters

[#cliffnotes](#)[#rba](#)[#australia](#)[#inflation](#)[#us](#)[#fomc](#)[#ecb](#)[#aud](#)[#usd](#)

By [Elliot Clarke](#), [Ryan Wells](#), [Illiana Jain](#) & [Mantas Vanagas](#)

10:45 June 19 2026

 Share

Key insights from the week that was.



The RBA Monetary Policy Board (MPB) unanimously decided to leave the cash rate unchanged at 4.35% this week, as widely expected. However, in the subsequent communications, the MPB clearly leaned against the idea that the hiking cycle is definitively over. After emphasising that both headline and underlying inflation is “too high” and warning that “[t]here are signs that some firms experiencing cost pressures are increasing the prices of their goods and services and others are looking to do so”,

the MPB explicitly signalled that it will not rule out “increasing the cash rate target further if required” in order to achieve its objectives.

As discussed by Chief Economist Luci Ellis in a video update midweek, markets have recently taken a larger cue from a softer run of data around consumer spending, housing and the labour market. Some of the weakness in the labour market reflected ‘abnormal seasonality’ which we expect will revert in May. But the important point is that Governor Bullock framed a weaker economy as an intended consequence of tighter monetary policy – slowing demand growth enough to squeeze inflation out of the system and prevent it from becoming embedded in expectations. With upcoming inflation data likely to show further persistence, we think the MPB will feel compelled to respond with further rate hikes in August and September.

Before moving offshore, a final note on local manufacturing. The latest Westpac-ACCI Survey of Industrial Trends revealed that momentum stalled heading into mid-year, the Actual Composite falling from a robust 57.6 in Q1 to a neutral reading of 50.5 in Q2. Underpinning the result was a flattening in new orders, a deceleration in output growth and a decline in employment. This comes as the Middle East conflict compounds the cost-of-living pressures households face, weighing on demand. It has also reignited cost pressures within manufacturing, a net 51% of firms reporting a rise in average unit costs. Firms expect further material increases in selling prices as a result, suggesting the pass-through of higher costs will persist into the second half. What was once budding optimism on the general business outlook has now collapsed to deep pessimism, leading many firms to delay or cancel plans to increase investment and hiring over the coming year.

Before moving further afield, New Zealand received an update on economic activity this week, the 0.8% rise in Q1 GDP a little less than we expected, though revisions meant the annual growth pace came out ahead of our forecasts. The pick-up in momentum evident over recent quarters likely came to a halt in Q2 due to the Middle East conflict, but this week’s apparent resolution (see below) could see the economy pick up again sooner than we had assumed.

In the US, the first FOMC meeting with Kevin Warsh as Chair was largely as anticipated. Notably, Chair Warsh focused on the practices of the Committee and the Federal Reserve as much as the economic outlook, announcing the formation of five separate task forces. On the current state of the economy, the labour market was characterised as largely in balance. The message on inflation was blunt, Chair Warsh making clear the Committee “will deliver price stability”.

Regarding the near-term policy outlook, the market showed concern over 9 of 18 respondents expecting at least one rate hike by year end. However, in the press conference, Chair Warsh made clear the degree of uncertainty participants wrestled with in coming to these views. Also, at least with respect to energy prices, in recent days risks have begun to recede. If the US/Iran deal holds over coming months, we expect the FOMC to remain on hold.

The Bank of England also marked time in June, with seven of the nine Monetary Policy Committee members voting to keep Bank Rate unchanged at 3.75%. The minutes showed that Chief Economist Huw Pill and external member Megan Greene preferred a 25bp hike as a risk-management response given the possibility of material second-round effects from energy inflation. Other members took

comfort from the recent fall in energy prices. The latest labour market and inflation prints were meanwhile interpreted as evidence that disinflation was well underway before the Middle East conflict. Nonetheless, the statement carried a hawkish tone, signalling the Committee still sees price risks as the dominant concern.

In Asia, the Bank of Japan raised its policy rate by 25bps to 1.0%. This follows strong wage outcomes earlier this year and growing evidence of pass-through to domestic inflation, particularly for services. In Governor Ueda's absence, Deputy Governor Uchida signalled further rate hikes ahead. We expect that productivity gains and sustained domestic inflation pressures will support the BoJ reaching a terminal rate of around 1.5% in mid-2027.

The Policy Board also confirmed that it will continue tapering JGB purchases, albeit at a slower pace. Importantly, the Bank retains the flexibility to scale up purchases in the event of disorderly moves in yields and will continue to pre-commit to purchase amounts on a quarterly basis.

On the data front, Chinese activity disappointed again in May. Retail sales contracted over the year, -0.6%yr, as soft income growth, declining wealth and an absence of confidence weighed. Fixed asset investment fell 4.1%ytd, driven by declines in sectors including property, health and education, but also owing to a lull in previously strong areas of the economy, namely manufacturing and utilities. Industrial production growth of 5.4%ytd shows the effective use of current capacity to meet strong growth in external demand, however. Aggregate growth in the economy is largely dependent on net exports' contribution at present. This is unsustainable given the record-high level of the trade surplus, hence the need for material and urgent stimulus for the domestic economy.

Finally, to the Middle East conflict. A resolution now looks to be in effect, at least for the next 60 days after a 14-point Memorandum of Understanding was signed by both the US and Iran. On day 1 of the Strait's re-opening, several VLCCs, which each carry 2 million barrels of oil, were seen transiting the Strait as others readied at port. Further, not only will shipments from other Middle East countries now come to the global market, but also from Iran – waivers allowing the nation to freely sell into the global market without delay and, as conditions are met, the removal of sanctions should confirm long-term access. Negotiations over Iran's nuclear program are still necessary, and until agreed there is risk of further conflict. Also, it will take time for damaged infrastructure and global inventories to be rebuilt. Still, the initial market reaction has been positive, the price of Brent oil falling from a recent peak near USD110 per barrel to USD79, compared to an average of USD63 in Q4 2025.

Stay informed with Westpac IQ

Get the latest reports straight to your inbox.

Subscribe

Related articles



#cliffnotes

Cliff Notes: on the minds of policy makers

July 03 2026 • ⌚ 5 mins

By [Elliot Clarke](#), [Ryan Wells](#) & [Illiana Jain](#)



#cliffnotes

Cliff Notes: patience is a virtue

June 26 2026 • ⌚ 5 mins

By Elliot Clarke, Ryan Wells & Illiana Jain



#cliffnotes

Cliff Notes: stuck in the moment

June 12 2026 • ⌚ 5 mins

By [Elliot Clarke](#), [Ryan Wells](#), [Illiana Jain](#) & [1 more](#)

Browse topics

[#aud](#)[#australia](#)[#interestrates](#)[#nzd](#)[#usd](#)[#newzealand](#)[#rates](#)[#credit](#)

[#yieldcurve](#)[#acgb](#)[#inflation](#)[#rba](#)[#semigovernment](#)[#basis](#)[#commodities](#)

[#ustreasury](#)[#fx](#)[#rbnz](#)[#jpy](#)[#abs](#)[Show more tags](#)

Disclaimer

©2026 Westpac Banking Corporation ABN 33 007 457 141 (including where acting under any of its Westpac, St George, Bank of Melbourne or BankSA brands, collectively, “Westpac”). References to the “Westpac Group” are to Westpac and its subsidiaries and includes the directors, employees and representatives of Westpac and its subsidiaries.

Things you should know

We respect your privacy: You can view the [New Zealand Privacy Policy](#) here, or the [Australian Group Privacy Statement](#) here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

This information, unless specifically indicated otherwise, is under copyright of the Westpac Group. None of the material, nor its contents, nor any copy of it, may be altered in any way, transmitted to, copied or distributed to any other party without the prior written permission of the Westpac Group.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide [here](#) or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2) of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

“professional clients” as defined by the rules of the Financial Conduct Authority and is not intended for “retail clients”. Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area (“EEA”): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH (“WEG”) under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority (‘BaFin’) and subject to its regulation. WEG’s supervisory authorities are BaFin and the German Federal Bank (‘Deutsche Bundesbank’). WEG is registered with the commercial register (‘Handelsregister’) of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA’s Prudential Standard 222 ‘Association with Related Entities’, Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an ‘investment recommendation’ and/or ‘information recommending or suggesting an investment’, both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) (“MAR”). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found [here](#). Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.